

complaint

Mr A is complaining that following the theft of his vehicle, Royal & Sun Alliance Insurance Plc (RSA) avoided his motor insurance policy for non-disclosure and would not meet a claim under it, but did not properly explain why. He is also dissatisfied that RSA's agent wrote to him telling him that a previous home insurance claim had been declined due to fraud, when it had not.

background

The adjudicator partially upheld this complaint, having divided it into three separate issues which he addressed separately, as set out below.

non-disclosure

The adjudicator did not uphold this aspect of the complaint, as he felt that Mr A had not responded to RSA's clear question with a full record of his claims history over the past five years. The one claim he initially disclosed was for 2007, and in the end it turned out that the date of this claim was wrong and should have been 2010. His theft claim of 2008 and the named driver's 2009 theft claim were not disclosed. Whilst the named driver was subsequently removed from the policy, the adjudicator still considered that as the 2008 claim alone would have meant RSA would not have insured him, it was entitled to avoid the policy and refuse to meet the claim.

customer service

The adjudicator felt that the customer service provided to Mr A was poor as it had provided conflicting and inaccurate information to Mr A. For example:

- at one point RSA said Mr A had not disclosed any claims, when in fact he had disclosed one; and
- RSA's letters provided conflicting accounts of how the claims had been discovered, *ie* through the Claims and Underwriting Exchange (CUE) or through his previous insurer.

Because of this conflicting information, Mr A has argued that as RSA has said that it did carry out a CUE check in official correspondence with him, then it is reasonable that it be treated as if that is what it did. This would have meant that RSA should have known from the earlier that he had two theft claims on his record. It could then have avoided his insurance at that time, and he would have gone elsewhere and would not now be faced with an unmet claim.

The adjudicator was not persuaded that RSA had checked CUE. After a review of RSA's computer generated system notes, there was no indication that CUE was ever checked. Rather, the adjudicator considered that RSA had called Mr A's previous underwriter to confirm his no claims discount (NCD). It seems that that underwriter had said Mr A had two years NCD and it had a record of only one claim in Mr A's name from 2010.

However, RSA wrote to Mr A saying that the underwriter had "*confirmed that you had been involved in a theft claim on 1 May 2007.*" The adjudicator considered this statement to have been inaccurate. The adjudicator considered that Mr A had subsequently contacted his previous underwriter to have the 2010 claim removed and changed to 2007.

Mr A has said that when he spoke to RSA, he assumed that there had been a mistake and that the same claim had been recorded twice. In other words, RSA's inaccurate information had confused Mr A to such an extent that he ended up removing the wrong claim from his record. Because RSA is not able to provide that call, there is nothing to contradict this account of how the call went and given RSA's general handling of this claim, the adjudicator was inclined to accept that this is what happened.

Given the inconsistencies, the adjudicator was satisfied that RSA had created a significant level of confusion for Mr A. He felt that it was very possible for RSA to have determined that Mr A had two theft claims on his record back in August - September 2011 and that it could have avoided Mr A's policy at that time. He would then have been able to seek alternative cover and have been insured when he had his accident in 2012.

fraud and loss of business

RSA had previously agreed that its agents should not have written to Mr A to tell him that he had previously been found guilty of fraud, and had offered him £150 compensation. However, the adjudicator felt that £150 was an insufficient sum. Mr A's business stopped approaching new clients for fear that the allegation would come to light. Unfortunately, Mr A was unable to provide concrete evidence to show his business losses. However, the adjudicator remained satisfied that RSA should not have made the accusation in the first place.

outcome

Mr A accepted the adjudicator's opinion on all three issues, but RSA remained dissatisfied with his view of the customer service. It maintained that it could not have known about Mr A's claims history from CUE, given the different addresses he had lived at. It also argued that the initial online quote screen that it provided to the adjudicator was altered after the inception of the policy to reflect a telephone call with Mr A, shortly after the policy inception, where he disclosed the claim of 2007. It said that Mr A had therefore told it about a claim that did not exist, and that the previous insurer only changed its claims record to show a claim from 2007 because Mr A had told it to. Finally, it maintained that it had been the previous insurer who confirmed to RSA that Mr A had two claims from 2007 and 2010.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

The unreasonableness of RSA in accusing Mr A of having previously been convicted of a criminal offence, and the failure in service this represents, is self-evident. I am satisfied that such an accusation could only be to the detriment of Mr A's business interests as he has said. Having said that, he has still not been able to provide evidence of the direct losses suffered. Therefore, I will only consider it from the standpoint of poor customer service.

The fact that Mr A did not disclose the 2008 theft claim is undisputed by both parties. As RSA has demonstrated that it would not have offered cover had it been informed of this claim, it is reasonable that it avoid Mr A's policy back to inception.

The question then becomes, could RSA have taken this action back in August 2011 and thereby avoided the situation Mr A is now in with an unmet claim.

Certainly there is an argument that RSA did in fact check CUE on 11 August 2011 and that at that point it should have been aware of Mr A's claims history and avoided his policy. RSA itself has said that this is what it did in its letter of 31 August 2011 to Mr A. There is also an argument to be made that as RSA has said that it has done something in official correspondence to its policyholder, it should be held to account as if it had done just that.

However, I agree with the adjudicator that the evidence suggests that no CUE check was carried out. There is no record of such a check on Mr A's record and the previous insurer has confirmed that there was a conversation between it and RSA on 11 August 2011. Whilst it provides a differing account of what was discussed during this and other conversations, the fact the telephone call took place supports RSA's account of how it found out about Mr A's 2010 claim.

I am also conscious that the pivotal return telephone call between RSA and Mr A where RSA informed him about the two claims it had allegedly been told about by the previous insurer (which that insurer disputes), is not available. I agree with the adjudicator that, given the amount of inconsistent and inaccurate information RSA has provided to Mr A, his version of how this call went is entirely plausible. Had RSA given Mr A the correct information from the start, it could well have established that Mr A had two theft claims on his record, and therefore avoided his policy in August 2011. He could then have sought cover elsewhere, so been insured at the time of the accident. I therefore consider RSA should pay for the accident damage.

I am also satisfied that the inconsistent information and, in particular, the allegation of fraud, caused Mr A a significant amount of distress and inconvenience. I am satisfied that £800 compensation is appropriate to address this.

my final decision

It is my final decision that I partially uphold this complaint and I require Royal & Sun Alliance Insurance Plc to:

- pay Mr A's claim, adding 8% interest from the time of loss to the date of settlement; and
- pay Mr A £800 compensation for the distress and inconvenience its poor customer service has caused him.

The avoidance may however remain on Mr A's record and I make no other award against Royal & Sun Alliance Insurance Plc.

Elspeth Wood
ombudsman